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# RELATED DIVERSIFICATION, CORE COMPETENCES AND CORPORATE PERFORMANCE

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*Despite nearly 30 years of academic research on the benefits of related diversification, there is still considerable disagreement about precisely how and when diversification can be used to build long-run competitive advantage. In this paper we argue that the disagreement exists for two main reasons: (a) the traditional way of measuring relatedness between two businesses is incomplete because it ignores the 'strategic importance' and similarity of the underlying assets residing in these businesses, and (b) the way researchers have traditionally thought of relatedness is limited, primarily because it has tended to equate the benefits of relatedness with the static exploitation of economies of scope (asset amortization), thus ignoring the main contribution of related diversification to long-run, competitive advantage; namely the potential for the firm to expand its stock of strategic assets and create new ones more rapidly and at lower cost than rivals who are not diversified across related businesses. An empirical test supports our view that 'strategic' relatedness is superior to market relatedness in predicting when related diversifiers outperform unrelated ones.*

A fundamental part of any firm's corporate strategy is its choice of what portfolio of businesses to compete in. According to the academic literature, this decision should reflect the 'superiority' of related diversification over unrelated diversification (e.g., Ansoff, 1965; Bettis, 1981; Lecraw, 1984; Palepu, 1985; Rumelt, 1974; Singh and Montgomery, 1987). This is because related diversification presumably allows the corporate center to exploit the interrelationships that exist among its different businesses (SBUs) and so achieve cost and/or differentiation competitive advantages over its rivals. But despite 30 years of research on the benefits of related diversification, there is still considerable disagreement about precisely how and when diversification can be used to build long-run competitive advantage (e.g., Hoskisson and Hitt, 1990; Ramanujam and Varadarajan, 1989; Reed and Luffman, 1986). In this paper we argue this disagreement exists for two main reasons:

1. Traditional measures of relatedness provide an incomplete and potentially exaggerated picture of the scope for a corporation to exploit interrelationships between its SBUs. This is because traditional measures look at relatedness only at the industry or market level. But as we explain below, the relatedness that really matters is that between 'strategic assets' (i.e., those that cannot be accessed quickly and cheaply by nondiversified competitors.[1] Therefore, to accurately measure whether

Key words: Related diversification, core competences, corporate performance

[1] It is important here to clarify the difference between 'strategic assets' and 'core competences.' Strategic assets are assets that underpin a firm's cost or differentiation advantage in a particular market and that are imperfectly imitable, imperfectly substitutable and imperfectly tradeable. These assets also tend to be market-specific. An example would be Honda's dealer network distributing and servicing its

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two businesses are related, we need to go beyond broad definitions of relatedness that focus on market similarity; we need to look at the similarities between the underlying strategic assets of the various businesses that a company is operating in (see also Hill, 1994).

2. The way researchers have traditionally thought of relatedness is limited. This is because it has tended to equate the benefits of relatedness with the static exploitation of economies of scope. While we would not deny that economies of scope are an important short-term benefit of related diversification, we believe the real leverage comes from exploiting relatedness to create and accumulate *new* strategic assets more quickly and cheaply than competitors (rather than simply amortizing existing assets—i.e., reaping economies of scope). To predict how much a strategy of related diversification will contribute to superior, *long-run* returns it is necessary to distinguish between four types of potential advantages of related diversification.

   a. the potential to reap economies of scope across SBUs that can share the same strategic asset (such as a common distribution system);
   b. the potential to use a core competence amassed in the course of building or maintaining an existing strategic asset in one SBU to help improve the quality of an existing strategic asset in another of the corporation's SBUs (for example, what Honda learns as it gains more experience managing its existing dealer network for small cars may help it improve the management of its largely separate network for motorbikes);
   c. the potential to utilize a core competence developed through the experience of building strategic assets in existing businesses, to create a *new* strategic asset in a *new* business faster, or at lower cost (such as using the experience of building motorbike distribution to build a new, parallel distribution system for lawn mowers—which are generally sold through a different type of outlet);
   d. the potential for the process of related diversification to expand a corporation's existing pool of core competences because, as it builds strategic assets in a new business, it will learn new skills. These, in turn, that will allow it to improve the quality of its stocks of strategic assets in its existing businesses (in the course of building a new distribution system for lawn mowers, Honda may learn new skills that allow it to improve its existing distribution system for motorbikes).

We term these four potential advantages of related diversification 'asset amortization,' 'asset improvement,' 'asset creation' and 'asset fission' respectively.

We will argue that the long-run value of a related diversification lies *not so much* in the exploitation of economies of scope (asset amortization)—where the benefit is primarily short-term—but in allowing corporations to more cost efficiently expand their stocks of strategic assets. Relatedness, which opens the way for asset improvement, asset creation and asset fission, holds the key to the long-run competitive advantages of diversification.

This means that in most cases, similarities in the *processes* by which strategic assets are expanded and new strategic assets are created are more important than static similarities between the strategic assets that are the *outcome* of those processes. Firms that are diversified across a set of 'related markets' where the strategic assets are either few, or the processes required to improve and create them are context-specific cannot be expected to out-perform unrelated diversifiers.

## THE MEASURE OF RELATEDNESS

The strategy of related diversification is considered superior to unrelated diversification

motorbikes. On the other hand, core competences are the pool of experience, knowledge and systems, etc. that exist elsewhere in the same corporation and can be deployed to reduce the cost or time required either to create a new, strategic asset or expand the stock of an existing one. Thus Honda's experience in building competitive dealer networks for a particular class of consumer durables would be an example of a core competence. Each of these networks (one for motorbikes and another for lawn mowers, for example) would be a separate strategic asset: 'different trees, sharing the same (core competence) root stock.'

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because it allows the firm to exploit interrelationships among its different business units. Specifically, the corporate center in related diversifiers is expected to *identify* important assets residing in any one of its SBUs and then *transfer* these assets and *utilize* them in another SBU. Canon's deployment of technology from its camera SBU in developing its photocopier business is a good example.[2]

Even though the advantages of the strategy of related diversification are usually cast in terms of the cost of differentiation benefits that arise from the cross-utilization of the firm's *underlying assets*, the actual measurement of relatedness between two businesses often does not even consider the underlying assets residing in these businesses. Relatedness has been traditionally measured in two basic ways (e.g., Montgomery, 1982; Pitts and Hopkins, 1982): (i) using an objective index like the entropy index of SIC count (e.g., Caves *et al.*, 1980; Jacquemin and Berry, 1979, Palepu, 1985) which assumes that if two businesses share the same SIC they must have common input requirements and similar production/technology functions; and/or (ii) using a more subjective measure such as Rumelt's (1974) diversification categories which consider businesses as related '... when a common skill, resource, market, or purpose applies to each.' (Rumelt, 1974: 29).

We do not doubt that the traditional measures could be acceptable proxies for what they are trying to measure. In fact, if these measures did not suffer from any *systematic* bias, one would consider them as a 'good enough' way to substitute for a costly and time consuming ideal measure. However, they do suffer from one systematic bias. Consider a firm using the strategy of related diversification so as to exploit the relatedness of its SBU-level assets. Suppose, however, that the SBU-level assets that the corporate center is trying to exploit are not 'strategically important' (as defined below). For example, suppose that the asset services that Firm X provides to an SBU by cross-utilizing the assets of a sister subsidiary are such that any other firm can easily purchase on the open market at close to marginal cost. In that case, even if Firm X achieves short-term competitive advantage through exploitation of economies of scope, it will not really achieve any sustainable competitive advantage *over time*; other firms will quickly achieve similar positions by purchasing similar asset services. The opportunity for a diversified firm to amortize the costs of running a trucking fleet by sharing it across two SBUs is often a case in point. If nondiversified firms could buy similar trucking services from a common carrier (which itself achieves the economies of scope across customers) at close to marginal cost, then there would be no competitive advantage to diversification even though the two markets were closely 'related' according to traditional measures like SIC similarity.

This implies that any measure of relatedness should take into consideration not only whether the underlying SBU-level assets of a firm are related, but also consider whether these assets are a potential source of competitive advantage. Even if the traditional measures of relatedness do a good job in capturing the relatedness of the underlying assets, they *consistently* ignore the evaluation of whether these assets are 'strategic' assets; and they do so because in measuring relatedness, they do not *explicitly* consider the underlying assets.

## Strategic assets

To win competitive advantage in any market, a firm needs to be able to deliver a given set of customer benefits at lower costs than competitors, or provide customers with a bundle of benefits its rivals cannot match (Porter, 1980). It can do so by harnessing the drivers of cost and differentiation in its specific industry. For example, if scale is an important driver of cost leadership then those firms that operate large-scale plants will outperform their subscale competitors. However, to effectively exploit these cost and differentiation drivers, the firm needs to access and utilize a complex set of tangible and intangible assets. For example, to reap the benefits of scale economies in production, it may require the services of tangible assets like a large-scale plant and intangible assets like the skills to manage this

[2] An extension of this argument has been proposed by Hill (1988): the corporation will be in a better position to exploit the interrelationships among its businesses if it is *structured* appropriately. Hill finds that related diversifiers are better served by the CM-form organizational structure than the M-form structure.

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scale facility effectively and distributor loyalty to support a constant high volume of sales.[3]

Given that a particular set of asset stocks is necessary to allow a firm to exploit cost and differentiation advantages, the crucial question for a firm is: 'How can I access these assets?' A firm can secure these required asset services in a number of ways. It may obtain them with the *endowment* which establishes the business. A company established to exploit a proprietary technology, for example, often receives a valuable patent asset from its founder. It may *acquire* the assets on the open market, or contract directly for the services of an asset (as in the case of an equipment lease). It might access the required asset services by *sharing* the asset with a sister SBU or an alliance partner. Finally, it may *accumulate* the required asset through a process of combining tradeable inputs with existing asset stocks and learning by doing (Dierickx and Cool, 1989).

Firms that possess assets which underpin competitive advantage will earn rents (Rumelt, 1987). To the extent that competitors can identify these rent producing assets, they can decide between two alternative ways in replicating this competitive advantage: they may seek to imitate the assets through one of the four mechanisms above, or they may try to substitute them with other assets which can earn similar rents by producing equivalent or superior customer benefits. *The assets on which long-term competitive advantage critically depends (strategic assets) are, therefore, those that are imperfectly imitable and imperfectly substitutable* (Barney, 1986; Dierickx and Cool, 1989).

## The importance of asset accumulation processes

The conditions above imply that assets which are readily tradeable cannot act as sources of long-term competitive advantage (Williamson, 1975). Similarly, assets which can be quickly and/or cheaply accessed through endowment, acquisition or sharing can only provide competitive advantage which is short-lived. In the long run, internal accumulation is likely to be the most significant source of imperfectly imitable and imperfectly substitutable assets. This is because most assets will be subject to erosion over time (see e.g., Eaton and Lipsey, 1980). Customer assets like brands, for example, will decay as new customers enter the market or former customers forget past experience or exit the market. The value of a stock of technical know-how will tend to erode in the face of innovation by competitors. Patents will expire. Thus, assets accessed through initial endowment or an initial asset base shared with another SBU will tend to lose their potency as sources of competitive advantage over time unless they are replenished by internal accumulation processes.

Moreover, even when an asset can be accessed through acquisition, alliance, or sharing, it is quite likely that the existing assets available will not perfectly fit the requirements of the market they will be used to serve. Existing assets generally need some adaptation to a specific market context and integration with existing asset bundles. Internal asset accumulation processes therefore play a role in molding assets which an SBU accesses externally into a competitive, market-specific bundle.

Regardless of whether the initial stock of strategic assets within an SBU is obtained by endowment or acquisition, or accessed through sharing, therefore, the long-term competitive advantage of a firm will largely depend on its ability to continuously adapt and improve its strategic assets to meet market-specific demands and to create new strategic assets that it can exploit in existing or new markets.

If these asset accumulation processes were frictionless and firms could speed them up at little cost, then it would be difficult for a firm that gained an initial advantage in respect of a set of assets (e.g., through endowment, sharing or first mover experience in a new, growing segment of the market) to maintain this lead. In practice, however, there are many impediments which prevent laggards from replicating or surpassing the asset positions of the leaders. Dierickx and Cool (1989) identify four separate categories of these impediments to asset accumulation: time compression diseconomies, asset mass efficiencies, asset interconnectedness

[3] See Verdin and Williamson (1994) for a fuller discussion of the link between Porter's cost and differentiation drivers and the assets on which exploitation of these drivers depend.

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and causal ambiguity.[4] These impediments also lie behind the concept of barriers to mobility (Caves and Porter, 1977) and Rumelt's 'isolating mechanisms' which include property rights on scarce resources, lags, information asymmetries and other sources of friction in processes of asset imitation (Rumelt, 1987).

When the process necesary to accumulate an asset suffers from one or more of these impediments, all firms will face higher costs and time delays in building it. This will restrict their ability to satisfy their market by offering the differentiation or cost advantages that the elusive asset would underpin. Impediments like time compression diseconomies, asset mass efficiencies and asset interconnectedness, however, will impose higher costs on later entrants to a business, making it more difficult for them to catch up with first movers and established firms who have had longer to accumulate nontradeable assets. Diversifiers entering a market for the first time against established firms would therefore suffer a handicap from late arrival, other things being equal.

It may be, however, that by deploying its existing core competences a diversifier can overcome some of these frictions. By drawing on its existing competence pool, such a corporation may be able to imitate valuable, nontradeable assets, or accumulate new, substitute ones, or create entirely new strategic assets more cheaply and quickly than competitors who lacked access to similar core competences: to grow new trees more rapidly and more cheaply by drawing on a common, existing root stock. Likewise, by properly deploying core competences between business units, a diversified corporation may also be able to maintain or extend its competitive advantage in its existing businesses through its ability to augment its nontradeable, market-specific assets more quickly and cheaply than its competitors. This is especially important in market environments that are undergoing significant change. Even firms with massive asset bases will lose their competitive advantage if they are unable to develop the new, strategic assets necessary to serve a changing market.

### Core competences as catalysts in the 'production function' of strategic assets

If strategic assets are the imperfectly imitable, imperfectly substitutable and imperfectly tradeable assets necessary to underpin an SBU's cost or differentiation advantage in a particular market, then core competences can be viewed as the pool of experience, knowledge and systems, etc. that exist elsewhere in the same corporation which can be deployed to reduce the cost or time required either to create a new, strategic asset or expand the stock of an existing one. Competences are potential *catalysts* to the process of accumulating strategic assets. If the firm knows from past experience how to efficiently build the type of distribution network which will improve the competitiveness of its product (i.e., the 'competence' in building a suitable type of distribution network exists), then it will be able to put the necessary asset in place more quickly and cheaply than a firm which lacks this competence. Competences may also act as catalysts to the processes of adapting and integrating assets that an SBU has accessed through acquisition, alliances or sharing. Prahalad and Hamel (1990), for example, cite the case of NEC's competency in managing collaborative arrangements as an important factor in their ability to access and then internalize technological assets and skills from their alliance partners.

This catalytic role of competences in the 'production function' for building assets which are nontradeable, nonsubstitutable and difficult to accumulate is illustrated in Figure 1. Inputs include time, readily tradeable assets, existing nontradeable assets and the catalyst to the construction process: competences.

The obvious next question is: where can a firm get hold of the competences that would allow it to speed up its rates of asset accumulation,

[4] *Time compression diseconomies* are the extra cost associated with accumulating the required assets under time pressure (the cost of compressing an activity in time). For example, it may take more than twice the amount of marketing to achieve in 1 year the same level of brand awareness as an established competitor may have been able to develop over a period of 2 years (other things equal). *Asset mass efficiencies* refer to the fact that some types of assets are more costly to accumulate when the firm's existing stock of that asset is small. It is more difficult, for example, to build the customer base of a credit card when it has few existing users. *Asset interconnectedness* refers to the fact that a lack of complementary assets can often impede a firm from accumulating an asset which it needs to successfully serve its market. *Causal ambiguity* refers to the impediment associated with the uncertainty of pinpointing which specific factors or processes are required to accumulate a required asset (the precise chain of causality is ambiguous).

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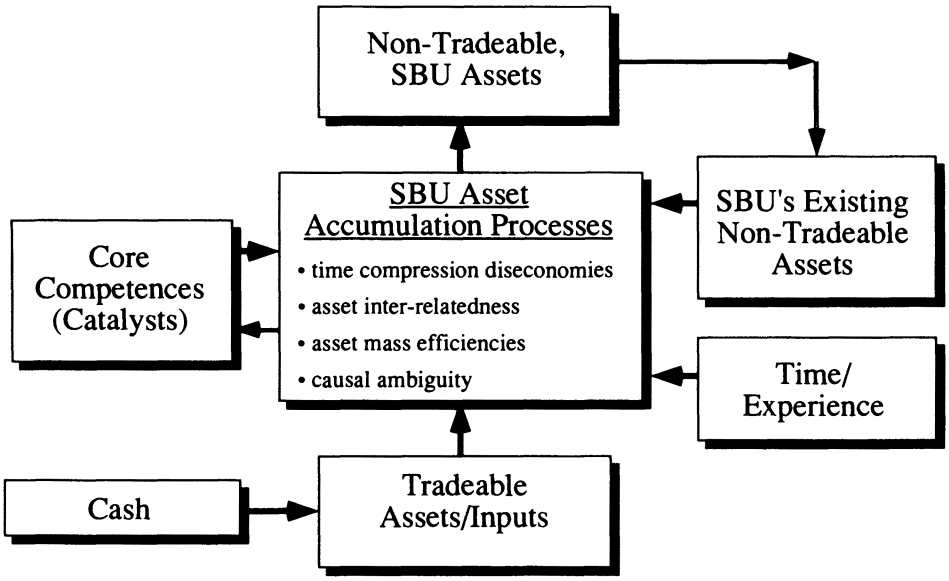


Figure 1. Core competences and the 'production function' for assets

adaptation and integration? The first place to look is the open market. But competences themselves often have characteristics which render markets inefficient as a mechanism for exchange. Characteristics such as information impactedness and scope for opportunism make competences, like other intangible assets, difficult to sell at arms-length (Williamson, 1973; Caves, 1982, Ch.1). This leads to excess capacity in competences which cannot be easily utilized by seeking buyers in the open market. Unique competences developed by an SBU through learning by doing therefore risk becoming 'imprisoned' in that unit, even though they could be potentially valuable catalysts to the process of asset accumulation in other businesses (Prahalad and Hamel, 1990).

Compared with the problems associated with trading competences in the open market, it is often more efficient to transfer competences between businesses using conduits *internal* to a single organization (Williamson, 1975). Such internal mechanisms include posting staff from one business unit to another, bringing together a corporate task force with individuals from a number of businesses to help solve a problem for one of them, and passing market intelligence or other information between SBUs which could act as catalysts to asset accumulation.

Not all of the competences of a corporation which can act as catalysts in expanding the asset base of a new or existing SBU, however, will make an equal contribution to improving the competitive advantage of an SBU. Honda's competence in building networks of dealers for consumer durables may speed up the rate and improve the cost at which it can build an effective, specialized distribution network for its new lawn mower product. But if a competitor could effectively substitute this by a distribution agreement with one or two national retail chains, the Honda Corporation's competence may afford its lawn-mower SBU little or no competitive edge. Likewise, if a rival could acquire a suitable network at a competitive price, or obtain access to one through a strategic alliance, access to Honda Corporation's competence might provide its related SBU with little or no competitive advantage. In both of these cases, while the competence is both available and transferable, it does not lead to the creation of a strategic asset that is both hard to substitute and difficult to imitate.

By contrast, Honda's competence in small petrol engines may enable its lawn mower SBU to quickly and cost effectively bring a superior product to market, backed by a superior production process. If competitors had no way of

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matching the resulting buyer benefits, except by spending a great deal of money over a long period of time, Honda's engine design organization and the combination of its manufacturing hardware and software would represent extremely potent strategic assets for the lawn mower SBU once they were in place. So access to Honda's engine competence would be a very significant source of competitive advantage for its lawn mower SBU.

We therefore have two conditions which must be satisfied for internal transfer of competences between SBUs to create advantage for the corporation:

1. it must be more efficient to transfer the competence internally between businesses in the same group than via an external market;
2. the competence must be capable of acting as a catalyst to the creation of market-specific assets which are nontradeable, nonsubstitutable and slow or costly to accumulate, thereby acting as a source of competitive advantage for the recipient SBU.

The larger the efficiency advantage of internal transfer, and the more costly the resulting asset is to accumulate, the greater the advantage to be gained from shifting a competence from one business unit to another existing or new SBU.[5]

## A DYNAMIC VIEW OF RELATEDNESS

So far we have established that an SBU's competitive advantage depends importantly on its access to strategic assets. We have also discussed how core competences can be used as catalysts in the processes of expanding an SBU's stock of strategic assets. The real, long-run benefits of relatedness should therefore lie in opening up opportunities to quickly and cheaply create and accumulate these strategic assets. It is then possible to distinguish five different types of relatedness.[6] These distinctions help pinpoint exactly when and how related diversification will lead to competitive advantage for a corporation (and when it will not).

The first category, we term 'exaggerated relatedness.' This is where the markets served by two SBUs share many similarities, but there is little potential to exploit these similarities for competitive advantage. The relatedness is 'exaggerated' in the sense that looking at the overall similarity (which traditional measures of market-relatedness tend to do, as we explain below), overstates the likelihood that a corporation will achieve superior performance by diversifying across both markets. This exaggeration may arise under any of a number of different conditions. It may be that while the diversified firm can quickly and cheaply build the asset stocks necessary to supply the market, so can any other firm, because most of these assets are easily imitable. Even if other, nondiversified firms cannot replicate the assets built by the diversifier, they may be able to substitute some other, readily available asset at no disadvantage to their competitiveness. In short, the assets that that relatedness helps a diversifier build may be *non-strategic*. A manufacturer of fashion knitwear in Europe or North America, for example, may have the competence to bring a local production facility for knitting standard, men's socks onstream quickly and efficiently. But such a facility may prove a nonstrategic asset against competitors who rely on off-shore sourcing for this type of nontime sensitive, nonfashion product. This type of relatedness, therefore, would not create an opportunity for profitable diversification.

Similarly, exaggerated relatedness may arise when the market-specificity of the strategic assets and the competences that can help build them, are underestimated by the indicators a diversifier chooses to consider. Diversification by Levis from jeans into men's suits, for example, was recognized as a failure. The two businesses may appear highly related on many dimensions from production through to marketing and distribution, but the strategic assets and competences required to build competitive advantage turned out to be very different.

The second type of relatedness arises where the strategic assets in one SBU can be shared with another to achieve economies of scope (e.g., Porter, 1987; Teece, 1982). This type of relatedness underpins what we term 'amortization

[5] The role of organizational structure in allowing a firm to exploit the benefits of related diversification is explored in more detail in Markides and Williamson (1993).

[6] We would like to thank Gary Hamel for his contribution in the formulation of these ideas.

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advantage,' by allowing related diversifiers to amortize the cost of an existing asset by using it to serve multiple markets. This type of relatedness can offer important, short-term advantages in the form of reduced costs and improved differentiation. But, for most corporations, diversification is a long-term step that could be costly to reverse. And simply exploiting its *existing* stock of assets (even if they are the 'right' assets) cannot be enough to create *long-term* competitive advantages (e.g., Prahalad and Hamel, 1990). The truly successful firms over the long term will be the ones that continuously *create new* strategic assets.

The third category of relatedness is where the strategic asset itself cannot be shared or transferred between two SBUs (because it is market-specific), but the competence gained in the process of building or maintaining an existing strategic asset in one SBU can be used as a catalyst to help improve the quality of an existing strategic asset in another SBU. This role of competences in asset accumulation is illustrated with the example of Canon's camera, photocopier and laser printer divisions in Figure 2.

Consider the position at Canon at the point where the company has successfully established itself in both the camera and photocopier businesses. Many of the strategic assets which underpin these respective SBUs cannot be shared directly. The dealer networks and component manufacturing plans are largely specific to each SBU. But in the course of its operations producing and marketing cameras, the camera division has extended this initial asset stock by a mix of learning-by-doing and further purchases of assets in the market. As a by-product of this asset accumulation process, the camera business also developed a series of competences like knowledge of how to increase the effectiveness of a dealer network, how to develop new products combining optics and electronics and how to squeeze better productivity out of high-volume assembly lines.

Because Canon is in two businesses, cameras and photocopiers, where the processes of improving dealer effectiveness, speeding up product development or improving assembly-line productivity are similar, it can improve the quality of the strategic assets in its photocopier business, by transferring competences learned in its camera business and vice versa. This type of relatedness, similarities in the *processes* required to improve the effectiveness and efficiency of separate, market-specific stocks of strategic assets in two businesses, opens up opportunities for what we call 'asset improvement' advantages for related diversifiers.

The fourth type of relatedness emerges where there is potential to utilize a core competence developed through the experience of building strategic assets in existing businesses, to create a *new* strategic asset in a *new* business faster, or at lower cost. For example, in the course of operating in the photocopier market, and building the asset base required to out-compete rivals, this SBU also accumulated its own, additional competences that the camera SBU had not

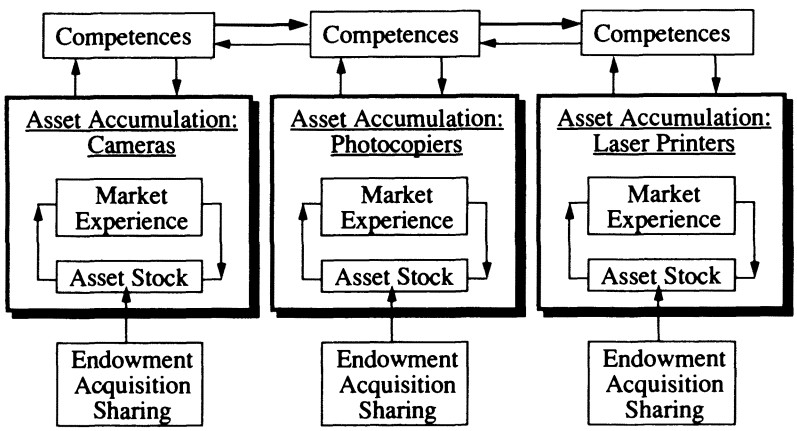


Figure 2. Core competences and asset accumulation at Canon

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developed. These may have included how to build a marketing organization targeted to business, rather than personal buyers, and how to develop and manufacture a reliable electrostatic printing engine.

When Canon diversified into laser printers, this new SBU started out with an endowment of assets, additional assets acquired in the market and arrangement to share facilities and core components. But even more important for its long-term competitiveness, the new laser printer SBU was able to draw on the competences built up by its sister businesses in cameras and photocopiers to create new, market-specific strategic assets faster and more efficiently than its competitors (illustrated by the arrows pointing to the right in Figure 2). This kind of relatedness, where the competences amassed by existing SBUs can be deployed to speed up and reduce the cost of creating new market-specific strategic assets for the use of a new SBU, we term the 'asset creation' advantage of related diversifiers. Again, only where the processes required to build the particular strategic assets needed by the new SBU are 'related' in the sense that they can benefit from existing core competences, will this type of diversification advantage be available.

The fifth, and final, type of relatedness is where in the process of creating the new strategic assets required to support diversification into a new business (like laser printers), the corporation learns new competences that can then be used to enhance its existing SBUs. For example, in creating the assets required to support the design, manufacture and service of the more sophisticated electronics demanded by the laser printer business, Canon may have developed new competences that could be used to improve its photocopier business. Alternatively, by combining the competences developed in its photocopier and laser printer businesses, may have helped it to quickly and cheaply build the strategic assets required to succeed in a fourth market: that for plain paper facsimiles. This kind of advantage over single-business firms or unrelated diversifiers, we term 'asset fission' advantage.

It is these last three types of relatedness that are likely to offer the greatest advantages from related diversification over the long-run. As the label suggests, exaggerated relatedness offers little or no scope for a strategy of related diversification to deliver superior performance, despite what may be a high degree of similarity between two markets. Related diversification designed to reap economies of scope, helping to amortize existing assets, is likely to provide only ephemeral advantage. Only relatedness that allows a corporation to access asset improvement, asset creation and asset fission promises long-run competitive advantage to related diversifiers. The problem is that traditional measures of relatedness have not been designed to distinguish between these profitable and unprofitable types of diversification.

### Extending traditional measures of market relatedness: Towards strategic relatedness

As we have seen above, it is not broad market-relatedness that matters. Two markets may be closely related, but if the opportunity to rapidly build assets using competences from elsewhere in the corporation does no more than generate asset stocks which others can buy or contract in at similar cost, then no competitive advantage will ensue from a strategy of diversification between them. 'Strategic relatedness' between two markets, in the sense that they value nontradeable, nonsubstitutable assets with similar production functions, is a requirement for diversification to yield super-normal profits in the long-run. By failing to take into account differences in the opportunities to build strategic assets offered by different market environments, the traditional measures suffer from the 'exaggeration' problem described above. They will wrongly impute a benefit to related diversification across markets where the relatedness is primarily among nonstrategic assets.

In order to operationalize the concept of strategic relatedness, we need to develop indicators of the importance of similar types of nontradeable, nonsubstitutable and hard-to-accumulate assets in different market environments. These types of assets may be divided into five broad classes (Verdin and Williamson, 1994):

- *customer assets*, such as brand recognition, customer loyalty and installed base;
- *channel assets*, such as established channel access, distributor loyalty and pipeline stock;
- *input assets*, such as knowledge of imperfect factor markets, loyalty of suppliers and financial capacity;

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- *process assets*, such as proprietary technology, product or market-specific functional experience (e.g., in marketing or production) and organizational systems;
- *market knowledge assets*, such as accumulated information on the goals and behavior of competitors, price elasticity of demand or market response to the business cycle.

Thus, if our indicator suggested that channel access and distributor relationships were likely to be very important to competitive advantage in each of two markets, we would identify them as 'strategically related' on this dimension. We would then be more confident that core competences in building networks of channel relationships would be applicable to both. If, on the other hand, the second market involved a product that was most effectively sold directly to a small number of buyers, we would class the markets as having lower strategic relatedness on the channel dimension. Although these markets may be closely related in some other way, such as use of similar raw materials, the opportunity to benefit from transfer of competences in building a third-party distribution network would not be available. Meanwhile, if all competitors could buy raw material inputs at a similar price, relatedness on the input dimension would not offer a source of competitive advantage. The relatedness between this second pair of markets would be 'non-strategic.'

We could then develop an overall picture of the degree of strategic relatedness between pairs of markets by using a portfolio of indicators, each one seeking to measure the extent to which competence in building the same class of strategic asset could add to competitive advantage in both environments. The higher the level of strategic relatedness between two markets, other things equal, the larger would be the expected gains from diversification of firms from one to the other.

We are the first to acknowledge that the structural indicators we use in the empirical investigation that follows are not direct measures of how similar the processes required to build strategic assets are between two markets. We are not able to develop a direct, quantitative measure of the degree to which core competences are transferable across SBUs serving each set of markets where our sample firms operate. However, we would contend that by going beyond the standard variables used to capture industry structure (like advertising and R&D intensity), to include indicators such as whether the product lines in each market are made-to-order or sold from stock, or how many of the product lines require after-sales service, we have taken an important step towards this goal. Specifically, we believe that our measures come closer to capturing the extent to which two markets share similar nontradeable, nonsubstitutable and imperfectly imitable assets (often intangibles), with potential to draw on the same root-stock of competences, than traditional measures (especially since these have largely ignored the distribution, marketing and service requirements as well as the need for customization during manufacture, that our measures emphasize).

In what follows, we discuss the structural indicators used for three of the main classes of strategic assets on which we have data: customer assets, channel assets, and process experience assets.

### *Customer asset indicators*

The first set of indicators seeks to capture the fact that the nature of interactions with the customer is an important determinant of the types of assets necessary to effectively serve a market.

*1. Customer concentration/fragmentation.* This indicator, *FEWCUST*, measures the degree to which each manufacturer deals with few, large customers rather than interfacing with a fragmented base of accounts. *FEWCUST*, is defined as the percentage of product lines for which there were less than 1000 customer accounts at the manufacturer level. If the manufacturer deals through resellers, it will reflect the number of distributor accounts which it must manage. To the extent that the manufacturer also deals direct with users, these additional accounts are also included in computing this measure.

Our objective is to capture the extent to which there is scope for manufacturers to build deep and sustained relationships with their account base: dedicating a member of sales staff to individual customers; responding to customer's specific commercial and information needs; developing proprietary IT interfaces; using con-

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signment stocks and so on. To the extent that a corporation's portfolio of markets shares these similar sales management requirments, we would expect there to be greater opportunities for building and sharing core competences in these areas. Conversely, if a corporation's portfolio was strategically unrelated on this dimension, including a mix of businesses some with a concentrated account base and others facing account fragmentation, we would expect fewer opportunities for building and sharing core competences in sales and customer service.

*2. Service requirement.* Good customer relationships (service reputation) and organizational capital (to provide quality service), both largely nontradeable assets, are likely to be more important in industries characterized by a high level of service requirement. Access to core competences in rapidly establishing an organization capable of providing quality service to the customer will offer greater advantage in such markets. To the extent that a corporation's portfolio of markets shares these similar service management requirements, we would expect there to be greater opportunities for building and sharing core competences in these areas. The service requirement in the industry is measured by the percentage of product lines requiring a 'moderate to high' degree of after sales or technical service (HSERV).

### *Channel asset indicators*

A second class of indicators refers to the importance of imperfectly tradeable, channel-related assets as a basis for competitive advantage. Such assets are likely to be more important in industries where a large portion of the products are sold through intermediaries: opportunities for a related diversifier to share competences in delivering products, information and service to the customer will then be high.

*3. Channel dependence.* Our indicator of the degree of third-party channel dependence, *CHANNEL*, is the percentage of products which pass through an intermediary before reaching the final user, rather than being sold direct to users by the manufacturer.

Distribution relationships are a critical asset in many businesses dependent on third-party channels. They are also difficult to trade on a free standing basis. Skills in building and managing distribution and dealer networks form the basis of a potentially important core competence. Where market economics dictate that that dependence on third-party channels is high, competences in dealer recruitment and overcoming 'shelf space' restrictions (Porter, 1976) will be valuable in assisting an SBU to accumulate the assets it requires to compete effectively. Strategic relatedness will also tend to be higher among markets that share similar levels of channel dependence.

### *Process experience asset indicators*

In most industries it is important to build up relevant process experience and associated assets in order to underpin competitive advantage. We use two measures to indicate the degree of similarity between the types of process experience assets that SBUs require: the proportion of products which are made to order and the average skill level of employees.

*4. Product customization (products made to order) vs. standardization.* Successful made-to-order supply depends on a variety of asset bases to facilitate two-way communication with customers, the design and management of flexible manufacturing systems, and the reduction of lead times. Efficient supply of products from stock requires a different set of tangible and intangible assets which underpin effective stock, control, demand forecasting, and batching and run-length efficiencies, etc. In both cases, nontradeable assets play a potentially important role, but the nature of the assets and the competences required to accumulate them differ. Strategic relatedness between businesses will therefore tend to be high when they share a common focus on either made-to-order production or supply from stock.

Our measure of relatedness on this dimension is the percentage of product lines supplied by the business which are made to order based on customer specifications (*TORDER*).

*5. The average skill level of the labor force.* In businesses where groups of skilled staff are an important source of advantage, human capital and the associated systems to generate and manage will be even more critical to advantage than in businesses with high labor intensity, but low skill levels. Again, businesses which share the need to develop an effective base of skilled staff with experience working together will have

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higher strategic relatedness than a pair of businesses, one requiring highly skilled staff and the other, a base of cost effective, low skilled workers.

Our indicator, SKILL, measures the proportion of 'high-skilled' jobs in the industry as a percentage of total employment.

## HYPOTHESES, DATA AND METHODOLOGY

### Hypotheses

So far we have argued that the traditional way of measuring relatedness between two businesses is incomplete; to be meaningful, relatedness needs to consider: (i) the 'strategic importance' of the underlying assets of these two businesses (i.e., are these assets nontradeable and nonsubstitutable?); and (ii) whether these assets are related. Only firms that exhibit this type of 'strategic relatedness' will perform well in the long term. This implies that if we were to measure the performance of firms classified as 'related' in the traditional (Rumelt) way and again according to whether their underlying strategic assets are related, we should be able to show that the latter way of looking at relatedness is superior. Therefore:

*Hypothesis 1: Related diversifiers will outperform unrelated firms only where they compete across a portfolio of markets where similar types of accumulated assets are important.*

In addition, the above discussion suggests that even within the population of related-diversified firms (defined as such in the traditional way), some related firms will do better than other related firms. Specifically, those related firms that compete across a portfolio of markets where similar types of accumulated assets are important should outperform the related firms that compete in a portfolio of markets where accumulated assets are less important or the types of strategic assets required differ widely across the firm's portfolio. Therefore:

*Hypothesis 2: Related firms that compete in a portfolio of markets where similar types of accumulated assets are important will outperform other related firms.*

### Data and methodology

To test these hypotheses, a sample of 200 firms was randomly selected from the 1981 *Fortune* 500 list. The population of *Fortune* 500 firms was selected for study because it contains many diversified firms. The sample firms were classified according to Rumelt's (1974) diversification categories (i.e., Single-business; Dominant-business; Related-business; and Unrelated-business), using data from the TRINET tapes as well as their annual reports. Since this is a study on diversification, the Single-business firms were excluded from the sample. Hence, the final sample consists of 164 diversified firms.

To test Hypothesis 1 we first measure relatedness in the traditional (Rumelt) way as a (0,1) dummy (*RELATED*): those firms classified as Related or Dominant take the value of 1, while firms classified as Unrelated take the value of 0. The following equation is then estimated

$$ROS_i = \alpha + \beta_i\,(RELATED) + \sum_{i=2}^{4} \beta_i (IND)_i + \epsilon \qquad (1)$$

where *ROS* is the profitability of the sample firms, measured as return on sales, and *IND* are industry control variables. We use three standard variables to control for industry effects: R&D intensity (RDSLS), measured as the total expenditure on R&D as a percentage of sales in a given industry; advertising intensity (WXAD), measured as expenditure on media advertising as a percentage of sales in an industry; and capital intensity (CAPX), measured as capital expenditures as a percentage of sales in an industry.[7] We decided to use return on sales (ROS) rather than return on assets (ROA) as

[7] Given the multiindustry nature of the sample firms, these three variables were industry-weighted. As an example of how this was achieved, consider how we industry-weighted WXAD (a firm's *industry* advertising intensity): First, a Compustat program was used to identify all the firms assigned to each 2-digit SIC, and to calculate their advertising intensity. Then, using their sales as weights, the average advertising intensity of every SIC was estimated. Next, each *sample* firm's sales by SIC were obtained from the TRINET tapes, and the percentage of the firm's sales in each SIC was calculated. The firm's industry-weighted advertising intensity was then calculated by multiplying the share of the firm's sales in each SIC by the corresponding advertising intensity of that SIC, and adding the results.

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our profitability variable for a specific reason: As explained by Ravenscraft and Scherer (1987), depending on the accounting method that a firm uses to account for an acquisition (pooling of interest vs. purchase accounting), profitability measures such as ROA end up *systematically* smaller under purchase accounting than under pooling of interest accounting. To avoid this potential bias we use ROS which is not affected by the accounting policies of acquisition recording. Finally, even though it is possible that profitability affects the industry variables as much as it is affected by them, we decided to treat the system as recursive rather than endogenous because we believe that feedbacks in the system occur at sufficiently long lags to allow us to pull out individual equations for separate treatment (e.g., Cowling, 1976).

After estimating Equation (1), we replace the *RELATED* variable by our structural indicators of relatedness to reestimate the above equation, i.e.

$$ROS_i = \alpha + \sum_{i=1}^{5} \beta_i K_i + \sum_{j=1}^{3} \beta_j (IND)_j + \epsilon \quad (2)$$

where $K_i$ are the five structural indicators described in the previous section. In order to test our hypotheses about strategic relatedness, we express each $K_i$ as the weighted average of each structural indicator 'i' divided by the weighted variance of the indicator across the businesses in each diversified firm's portfolio (A/V).[8] The reason for this transformation is best explained by example. Suppose we have two diversified firms, Firm X has 70 percent of its sales in a business requiring a high level of after-sales service, but has diversified the remainder of its sales into businesses where the products do not require any after-sales service. The indicator HSERV will therefore have a high variance for Firm X, suggesting little scope for sharing competences in building a service network. By dividing our average indicator by this variance, we are effectively discounting for the fact that any competence Firm X has in building an after-sales service network cannot be exploited in its other businesses (it is 'imprisoned'). Compare this with Firm Y which has all of its sales in two businesses, both of which require high after-sales service. Firm Y will score in two ways on our indicator $K_i$ (compared with Firm X). It will start out with a high weighted average on HSERV. And the fact that both its businesses share a requirement for high after-sales service means that the variance of HSERV is very low for Firm Y, so the value of its competence in building effective service networks will not be discounted as it was for the unrelated diversifier, Firm X.

To calculate the weighted average of each structural indicator we first obtained an industry breakdown of the indicator from Bailey (1975). Next, each sample firm's sales by SIC were obtained from the TRINET tapes and the percentage of the firm's sales in each SIC was calculated. The industry-weighted average of each indicator was then calculated by multiplying the share of a firm's sales in each SIC by the corresponding value of the indicator in that SIC, and adding the results.

To calculate the weighted variance of each indicator, we used the following formula:

$$\text{variance}(x) = \sum (s\,x^2) - \bar{x}^2$$

where $\bar{x}^2$ = weighted average of the indicator x; and s = percentage of each industry (SIC) in total sales.

*A priori* we would expect that the coefficient of *RELATED* in Equation (1) is positive and significant, consistent with previous studies on related diversification. In addition, for Hypothesis 1 to be supported we should find: (a) the $R^2$ of Equation (2) significantly higher than the $R^2$ obtained from Equation (1), implying that Equation (2) does a better job in explaining the profitability differences between Related and Unrelated firms; and (b) the coefficients of the structural indicators in Equation (2) to be *positive* and significant.

To test Hypothesis 2 we simply estimate Equation (2) again, but only on the subsample of firms classified as 'related' in the traditional way ($N$ = 109). The hypothesis will be supported if Equation (2) does a good job (as measured by its $R^2$) in explaining the variability in the profitability of related firms.

Data for calculating the five structural indicators and the three industry-control variables

[8] We'd like to thank an anonymous reviewer for suggesting this to us.

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were derived from the following sources: The variables FEWCUST, CHANNEL, HSERV and TORDER, as defined above, were drawn from a U.S. survey of marketing expenditures (Bailey, 1975); the variables ROS, CAPX and WXAD come from Compustat; RDSLS was taken from the National Science Foundation (1978); and SKILL was computed from job classifications contained in the Census of Population (1980).

## RESULTS

Table 1 presents descriptive statistics and correlations for all the variables in the study. The low intercorrelations among these variables suggest no problems with multicollinearity. The low correlations imply that there is sufficient independent variation among the variables used in this study to allow discrete effects to be estimated.

The estimated coefficients from Equation (1) are reported in Table 2. Consistent with previous studies, we find that Related diversification is positively correlated with profitability. Consistent with IO theory, we also find that the proxies for industry structure (advertising, capital and R&D intensity) are also positively correlated with profitability. The equation is statistically significant at the 99 percent level and explains about 26 percent of the variation in the dependent variable.

The comparative results obtained from Equation (2) when relatedness is measured by the five strategic indicators are presented in column (A) of Table 3. Again, the equation is statistically significant at the 99 percent level. Two results stand out: First, the adjusted $R^2$ of this equation (0.36) is significantly (at the 1% level) bigger than the adjusted $R^2$ obtained from Equation (1). This is strong support of Hypothesis 1 in that compared with the traditional definition of relatedness, our measures of relatedness do a far superior job in explaining the variation in the dependent variable. Second, the five structural indicators that we used to capture strategic relatedness exhibit the expected sign and are statistically significant, again strongly supporting Hypothesis 1.

Our results with respect to the structural indicators imply the following:

Table 2. Relatedness measured by Rumelt categories[a]

| | Dependent variable=ROS81 | |
|---|---|---|
| Variable | (A) | (B) |
| Constant | 11.828 | 5.674 |
| | (26.98)*** | (6.06)*** |
| RELATED | 1.239 | 1.370 |
| | (1.52) | (1.94)** |
| WXAD | — | 0.378 |
| | | (2.55)*** |
| RDSLS | — | 0.788 |
| | | (2.72)*** |
| CAPX | — | 0.510 |
| | | (6.33)*** |
| | $N$=160 | $N$=159 |
| | adj.$R^2$=0.008 | adj.$R^2$=0.26 |
| | $F$=2.30 | $F$=15.05 |

[a]t-statistics reported in parentheses
*significant at the 10% level (two-tail test)
**significant at the 5% level (two-tail test)
***significant at the 1% level (two-tail test)

Table 1. Means, standard deviations and intercorrelations[a]

| Variable | Mean | S.D. | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| 1. ROS | 11.904 | 4.69 | — | | | | | | | | |
| 2. A/V CHANNEL | 0.732 | 2.34 | 0.014 | — | | | | | | | |
| 3. A/V TORDER | 4.321 | 21.65 | 0.128 | −0.819 | — | | | | | | |
| 4. A/V FEWCUST | 0.66 | 1.42 | 0.145 | 0.245 | −0.029 | — | | | | | |
| 5. A/V HSERV | 0.58 | 1.11 | −0.015 | −0.309 | 0.126 | −0.528 | — | | | | |
| 6. A/V SKILL | 220.6 | 375.4 | 0.18 | −0.336 | 0.495 | −0.051 | 0.217 | — | | | |
| 7. CAPX | 6.543 | 3.93 | 0.416 | −0.051 | 0.064 | −0.197 | 0.038 | 0.101 | — | | |
| 8. WXAD | 3.229 | 2.19 | 0.215 | 0.037 | −0.019 | 0.139 | −0.096 | −0.133 | 0.0002 | — | |
| 9. RDSLS | 1.851 | 1.14 | 0.204 | −0.057 | 0.023 | −0.031 | −0.108 | −0.119 | −0.046 | 0.240 | — |

[a]$N$=164; Correlation coefficients greater than 0.19 are significant at $p < 0.05$, those greater than 0.25 are significant at $p < 0.01$, and those greater than 0.32 are significant at $p < 0.001$.

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Table 3. Relatedness measured by strategic indicators

| | Dependent variable=ROS81 | |
|---|---|---|
| Variable | (A) | (B) |
| Constant | 5.437 | 5.773 |
| | (3.55)*** | (1.69)* |
| A/V FEWCUST | 0.812 | 0.906 |
| | (3.13)*** | (3.14)*** |
| A/V HSERV | 0.712 | 0.676 |
| | (2.17)** | (1.89)* |
| A/V CHANNEL | 0.549 | 0.542 |
| | (2.24)** | (2.12)** |
| A/V TORDER | 0.054 | 0.048 |
| | (2.01)** | (1.72)* |
| A/V SKILL | 0.002 | 0.002 |
| | (2.07) | (2.12)** |
| WXAD | 0.286** | 0.165 |
| | (2.05)** | (0.70) |
| RDSLS | 1.04 | 1.178 |
| | (3.75)*** | (3.56)*** |
| CAPX | 0.556 | 0.572 |
| | (7.24)*** | (6.31)*** |
| | $N$=164 | N=109 |
| | adj.$R^2$=0.36 | adj.$R^2$=0.41 |
| | $F$=12.25 | $F$=10.13 |

*significant at the 10% level (two-tail test).
**significant at the 5% level (two-tail test).
***significant at the 1% level (two-tail test).

- operating in a portfolio of markets with high service requirement (HSERV) allows the firm to benefit from customer relationship skills and accumulated competences in working with the customer and providing quality service. Other marketing competences can be most effectively developed and exploited when the firm operates in a portfolio of markets where a few large customers exist.
- when a manufacturer can operate by serving a few large accounts—FEWCUST—(i.e., its direct customers are not fragmented), it will be able to build up deep and sustained relationships with these customers, and so develop its core competences in managing sophisticated customer interfaces.
- operating in markets where products have to pass through intermediaries before reaching the final user (CHANNEL) allows the firm to build up its dealer recruitment skills and channel management competences.
- operating in markets where products are custom-made (TORDER) enables the firm to build up and exploit competences in the exchange of complex information with its customers and/or develop flexible manufacturing.
- operating in markets where labor skill is high (SKILL) allows the firm to build up competences in managing knowledge-based activities which can be transferred to other businesses. It may also help the firm improve its competences in human resource management.

These results are in general conformity with Hypothesis 1. Similarly supporting results were obtained for the second hypothesis. These results are presented in column (B) of Table 3 and are the estimates of Equation (2) when only the subsample of Related firms is used. The five strategic indicators are able to explain more than 41 percent of profitability differences among the population of related firms. This suggests that even within the population of related – diversified firms (defined as such in the traditional way), some related firms will do better than other related firms. Specifically, since all five of the strategic indicators come out positive and significant, we can argue that those related firms that compete across markets where certain types of assets (nontradeable, nonsubstitutable and slow and costly to accumulate) are important, outperform the related firms that compete in markets where these accumulated assets are less important.

## SUMMARY AND CONCLUSIONS

In this paper, we argued that the traditional way of measuring relatedness between two businesses is incomplete because it ignores the 'strategic importance' and similarity of the underlying assets residing in these businesses. A firm may be in a set of related businesses without deriving a significant advantage from the potential links between its SBUs. Relatedness will be of little advantage when it does not assist the firm in accumulating nontradeable, nonsubstitutable assets efficiently. This, in turn, implies that it is relatedness of strategic assets between SBUs that

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is important, not the market-level relatedness between businesses.

But simply exploiting existing strategic assets will not create long-term competitive advantage. In a dynamic world, only firms who are able to continually build new strategic assets faster and more cheaply than their competitors will earn superior returns over the long term. Core competences have a pivotal role to play in this process. By transferring core competences between its SBUs, a corporation is able to accelerate the rate and lower the cost at which it accumulates new strategic assets. These opportunities for benefitting from core competences underpin the dynamic advantage of related diversification and define the types of relatedness that a firm should seek to exploit (asset amortization, asset improvement, asset creation and asset fission).

This analysis led us to hypothesize that 'strategic' relatedness is superior to market relatedness and that related firms outperform unrelated ones *only* in markets where accumulated assets are important. These hypotheses were supported by our empirical tests. Specifically, we found that firms operating in portfolios of businesses which shared similar opportunities to exploit brand building: marketing and channel management; and process skills in customization and management of skilled teams gained significant benefit from related diversification.

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